BRACE FOR THE NEXT SUPPLY SHOCK?

GEOPOLITICAL TENSION, SOUTH AFRICA'S INVESTMENT PUZZLE, AND THE FISCAL DOMINANCE THREAT.

TRACKING INFLATION, THE SARB POLICY RATE, AND ZAR/USD.

Executive Summary

Key Insights

- South African people are increasingly being pressed to reach deeper into their pockets due to increases in goods and services prices. Public concern is plagued with ominous signals of imminent, more pervasive shocks.
- Persistent supply shocks are dictating the current trajectory of the economy, increasing inflationary pressures, highlighting dependencies, and deteriorating the global risk sentiment.
- Repo rate transmission effects need to be balanced by secondary agents including government, public corporations and the private sector to preserve stability, boost growth and protect South African businesses and its people.
- Current global growth is being attributed to US AI-related activity and valuation. Massive debt is being added to the system to fund this, adding to the likelihood of AI bubble risk and repricing spillover effects into the domestic market.

This is a proposed method to narrow the sovereign risk premium, rescue South Africa from the low-regime investment pit, prevent fiscal debt deterioration, and mitigate potential persistent supply shock effects, in light of existing risks.

Introduction

Geopolitical and economic tensions stemming from the Middle East oil crisis have added their name to the 2026 supply shock register. A Polycrisis of sorts, where supply shocks take the front seat rather than demand pressures, impacting economic activity from production to consumption.

Like every oil price shock, it does not exist in a vacuum. The Middle East conflict is no different. More pronounced are refinery margins, or crack spreads of oil production major players, persistently spilling over into economic activity.

From a household disposable income standpoint, refined oil products such as petrol for transport, and heightening El Niño-associated food security risks pose significant threats to its already waning purchasing power. From a GDP perspective, industrial and manufacturing output is hugely determined by the cost of diesel, feeding into actual economic growth and capacity.

The South African Reserve Bank (SARB) has a regulatory mandate to preserve the value of the South African Rand through inflation targeting when these supply shocks hit, implementing policy that aims to mitigate inflation broader second-round effects.

The SARB Policy rate cumulatively increased by 50 basis points this year, 25 bps in May 2026 and another 25 bps in September 2026, an aggressive attempt to absorb global-to-domestic inflation spillovers.

This research brief provides a concise synthesis of the current global state, risk, CPI index growth slowed, with the supply shock drivers, and how the transmission effects of monetary policy can be better balanced by governments and the private sector.

An analysis of the movements between Headline inflation (CPI), the SARB policy rate (Repo rate), and the domestic currency (ZAR/USD) for the period 2015 -2026, provides key inflation insights regarding its response to policy decisions, and exchange rate effects during high, inflationary and disinflationary periods.

Inflation Surveillance for the period 2015 -2026

1. Global Disinflationary Period January 2016 - April 2016

Headline CPI, Repo Rate and ZAR/USD
During this global deflationary episode, the first 4 months of 2016 were characterized by the Chinese economic slowdown and plummeting commodity prices. South Africa’s currency relative to the US Dollar appreciated in value, while over this 4-month period the SARB policy rate increased sharply by 75 basis points. South Africa's headline CPI high of 7.10% stood out over the 4-month period. The domestic environment was infamously plagued by political instability (Nenegate) and agricultural shocks caused by El-Nino.

2. South Africa Disinflationary Period COVID-19 February 2020 -

June 2020

Headline CPI, Repo Rate and ZAR/USD
Headline CPI % of 1.93% at the end of the examined period. The SARB policy rate was reduced from 6.25% to 3.75% in an emergency policy easing reaction by the SARB. Subsequently, South African government Treasury bonds were reduced to junk status on the Lockdown announcement date of 27 March 2020.

The ZAR/USD performance over this period showed currency depreciation, indicating its sensitivity to political and country confidence in fiscal responsibility and navigating uncertain terrain.

3. High Global Stagflationary Risk Episode: Russia - Ukraine War April 2022 - July 2022

Headline CPI, Repo Rate, and ZAR/USD
Characterized by soaring inflation and stagnant global economic growth, short-term South African productive and consumption capacity was constrained due to unsustainably rising inflation, reaching almost 8% in July 2022 - a 13-year inflation high. The Repo rate over the stated period responded to this shock by increasing 125 basis points over this short stint, attempting to circumvent inflation persistence.

Inflation momentum was fierce and did warrant an aggressive, immediate response.
The ZAR/USD devalued, but due to South Africa's net export status of precious metals and coal, and the favourable commodity price surge, the economy was insulated from these global shocks.

4. South Africa Easing Inflation and JSE Outperformance: March 2025 - December 2025

Headline CPI, Repo Rate, ZAR/USD
Global political and economic climate proved rickety; Donald Trump assumed office once again in January 2025 and announced the infamous Liberation Day Tariffs in April 2025. Further, the Magnificent Tech 7 and its market constituents experienced a market correction.

Domestically, headline CPI rose at a decreasing pace, and the SARB Policy rate was reduced by 75 basis points over the period. South Africa's economy did benefit from currency and investor resilience supported by the outperformance of the JSE, despite a reported weakening economic outlook.

5. Middle East Oil Price Shock, Global Unsustainable Fiscal Debt Burdens Et al March 2026 -

Headline CPI, Repo Rate, ZAR/USD
Since 2020, there have been 2 energy crises that pervaded the global economy. One being purely market-driven, the other

a matter of conflict between an established dual alliance (US-Israel) and a rising power (Iran), deepening instability in the Persian Gulf.

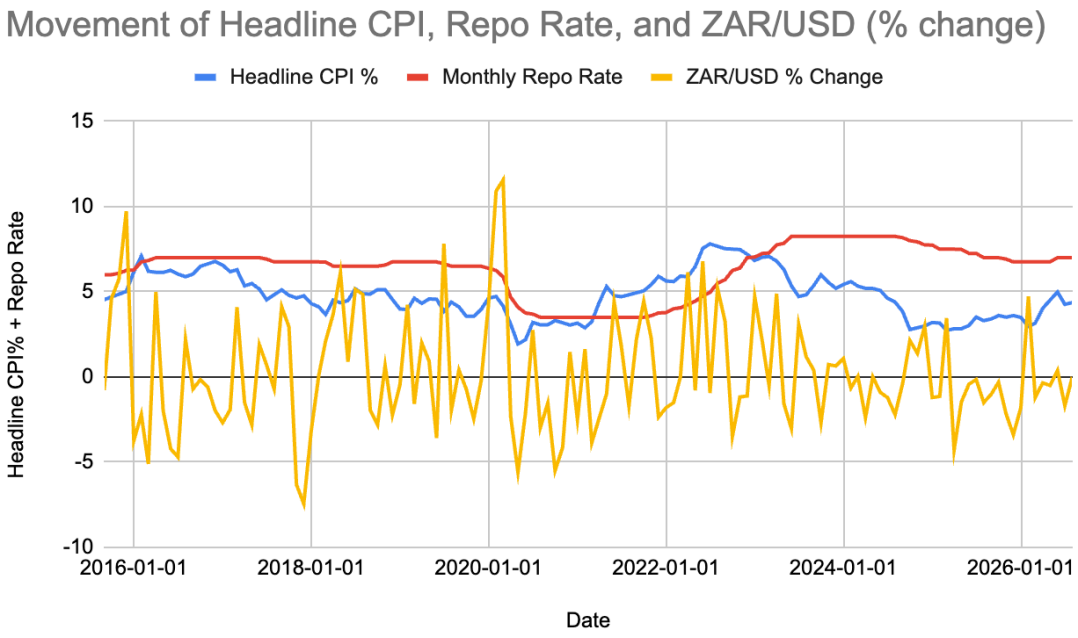
Seasoned practitioners have stated that the economy was better supported to endure the inflationary pressures in 2020, with the absence of those supportive conditions now, in 2026.

Headline CPI sharply increased since the end of February 2026; the SARB policy rate remained unchanged in March, and increased by 25 basis points in May. The next rate hike occurred on 23 September 2026, now at 7.25%. The ZAR/USD experienced depreciation over this period, indicating equity and sector underperformance.

Insights for Future Economic Policy in Persistent Supply Shock Environments

Polycrisis: Supply Shocks Feeding on Each Other

The term Polycrisis regained its global popularity in the 21st century, led by economic historian Adam Tooze, becoming the word du jour, or la décennie. Polycrisis is defined as multiple distinct global systems (such as economic, geopolitical, ecological, and social) becoming causally entangled, so that their interactive and compounding effects are far more dangerous and destructive than the sum of their individual parts.



Data Source: BER

> “Polycrisis as multiple distinct global systems (such as economic, geopolitical, ecological, and social) becoming causally entangled, so that their interactive and compounding effects are far more dangerous and destructive than the sum of their individual parts. ”
> — Adam Tooze, Economic Historian

In his September 2026 MISTRA keynote, Governor Kganyago, addressing South Africa’s position against the unsteady geopolitical landscape, introduced a more illustrative description of the current state of the global economy, likening it to the terrifying August 2026 Nepal climate disaster, in which a 65-foot tall wave of black mud, boulders and shattered ice obliterated the Gyirong Port border crossing. It was followed by another disaster in October.

A ‘Cascade of Crises’ he opined, where each shock feeds greedily on each other, creating a reinforcing cycle. He touched on 5 pressing themes including:

- The weakening global resolve to tackle climate risk, and its associated agricultural and inflationary risks to the macroeconomy.
- AI posing a cybersecurity threat as a potential cause for another impending financial crisis.
- Fragmented agreement on the underlying causes of global imbalances, specifically the embittered China-France trade imbalance, power clashes.
- Unsustainable debt levels, both fiscal and private debt in major economies, largely driven by AI hyperscalers, consequentially pushing long-term interest rates to multi-decade highs.
- And due to increasing government interest burdens triggering of fiscal dominance, a plausible threat to Central bank independence and commitment to its sole jurisdiction of price stability.

His counsel in navigating this unprecedented terrain as an emerging market was less despairing, and more a strong transformational signal of the importance of understanding the order of magnitude of these changes, correctly identifying inward strategic and economic strengths, amidst these multiplicity of shocks and capitalizing on them.

Unsustainable Global Fiscal Debt Burdens and Bailout Possibilities

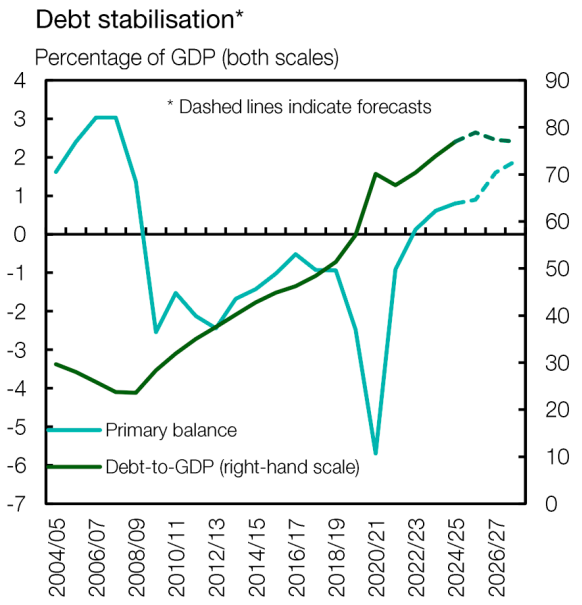
Debt-to-GDP ratios are becoming increasingly worrying, both in major and developing economies. France is a case in point for poor fiscal restraint, and an unhealthy debt-to-GDP ratio, further reinforcing their position on the

unsustainable path by deepening budget deficits. France is no underdog, but the odds are not in its favour, perhaps attributed to too liberal an administration.

Increasing CDS prices and treasury bond yields exhibit waning confidence in the French government's ability to make good on its debt, with a high probability of bailouts on the horizon.

Fiscal spending requires a balance of austerity and the commitment to growth and maintenance.

Transferring these lessons to the South African context provides a stark reminder of the importance of central bank independence even as fiscal dominance and political interference may threaten its legal mandate. Not just that, but fiscal policy does have direct impacts on inflation dynamics, particularly in the emerging market context.



Source: National Treasury

South Africa's Long Road to Debt Stabilization and Its Investment Puzzle

Aswath Damodaran, NYU Professor of Finance, defines a country's risk drivers as a confluence of 4 factors. It's political structure, the prevalence of corruption, the extent of violence, and the strength of its legal system.

Lawyer, banker, and Standard Bank CEO, Sim Tshabalala, stated in his address at the Semofor World Economy Summit in April 2026 that there is a direct correlation between GDP growth and the rule of law.

National Treasury has stated its commitment to prudence by protecting against further debt deterioration and stabilising debt by running a primary surplus as a fiscal anchor. This act of prudence has managed to relatively lower long-term debt servicing and borrowing costs since the GFC. It has also narrowed our country's risk premium, stimulating investor attention.

Box 6 in the October 2026 SARB MPR assesses the befuddling investment puzzle, accompanied by the comparative performance of South Africa's Investment-to-GDP ratio to the emerging market averages. The low-investment regime appears to be the new normal.

Even with the cumulative benefits of structural reforms over the last few years, resilience: An emerging market journey,"

there is a need for these reforms to accelerate, so that present investors can be incentivized to shift away from maintenance toward robust growth activity.

In the face of these persistent shocks, there is the embedding of inflation itself in wage and inflation expectations. Due to the latent nature of macroeconomic policy, the response must be precise and on time, even before evidence becomes clear.

The medium-term risk of acting too late would include the increased investor inflation risk premium - investors need to be compensated for heightened inflation.

Bond yields and credit default swap prices are reflecting improved confidence in both South Africa's monetary and fiscal path, despite upward yield pressures from advanced economies.

The South African Emerging Market Bonds Index Plus (SA EMBI +) has seen 13-year lows, and has secured two credit-rating upgrades in under a year.

This also serves as a reminder that fiscal, political, and currency instability are risk factors that are reflected in treasury bond yields.

Institutional Destruction and Private Sector Cooperation

In Governor Lesetja Kganyago's keynote address, titled "From fragility to given early August 2026, he notes the cracks of fiscal vulnerabilities in the form of growth inhibitors. Growth and resilience are two different commitments and line items on the agenda, but state capture, or the destruction of the institution right down to the municipal and local level, does not create a conducive environment for the private sector with deep operating experience to grow, develop, and thrive.

Institutions must keep the main thing the main thing. To operate for the public benefit in its entirety.

Fiscal authority and monetary authority.

Coordination is needed between the two, but the distinct line between mandates should not be muddied.

Both are equally important and require both collective powers to calculatedly balance and manage competing objectives, accurately assess consequential trade-offs, incentives, and existing structures, to create economic and societal conditions for the graduate, labourer, entrepreneur, and executive to thrive.

Global Currency Carry Trades? A Shift Toward Energy Sovereign Currencies

The US-Israel conflict with Iran has caused a dramatic shift in global currency

> “Energy availability, efficiency, and transition dynamics will increasingly determine economic competitiveness and geopolitical leverage, potentially reshaping global power structures even without formal monetary recognition.”
> — Peter O. Anari

carry trades.

International investor macro drivers are shifting, evidenced by how currency risk is being priced. Energy-dependent economies in terms of imports, like Japan, are experiencing severe currency depreciation, as oil-price shocks increase vulnerabilities through currency sensitivity. A nation’s trade balance is largely dictated by its exposure and sensitivity to currency risk of goods and services that they are predominantly dependent on.

International currency trade volumes indicate a shift away from the Yen, rather using the Swiss Franc and Euro to purchase high-yield emerging market assets.

The ZAR has in itself embedded a currency variance risk premium and structural fiscal risks, increasing its sensitivity to global liquidity shocks. High capital inflows are being directed toward high-yielding, energy-exporting nations, like the USD, CAD and NOK. With the SARB’s influence in nominal interest spreads widening the yield premium, foreign investors are looking at emerging markets as high-yield, high-risk assets destinations.

This also speaks to South Africa’s current energy mix, and dependencies as determining foreign capital inflows attraction through reduced currency risk and better yields.

Current Account Deficit: Narrowing Trade Surplus and Primary Income Deficit

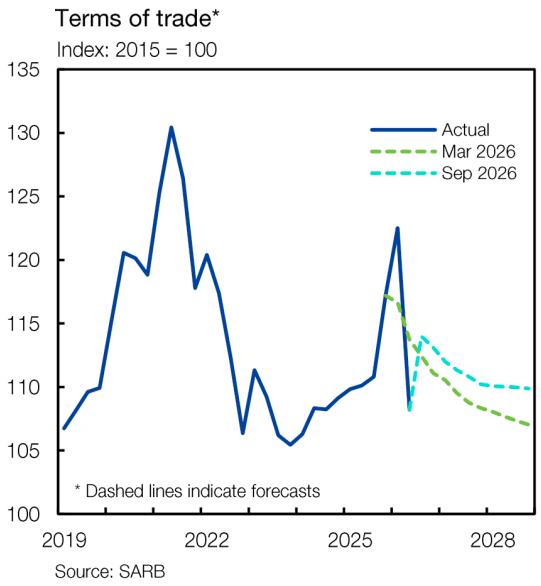
As a share of GDP, the current account swung from a +2.3% to a -2.6%, announced 10 September 2026.
A sustained current account deficit could put external downward pressure on the rand and the valuation of foreign reserves.

A weakening rand could indicate a potential barrier for resisting imported inflation and anchoring expectations. Pressure on import price indices may also contribute to producing a negative imbalance on the terms of trade.

Consequently, transmission effects to financial markets are also conditional on

the stability of capital inflows, foreign investor bonds and equity transactional activities, and the long-term capital commitments to South Africa's production market and growth, bolstering institutional confidence.

The South African bond market is further exposed through increased investor demand for higher yields, therefore lowering fixed-rate bond prices.
Despite that, an unwavering evidenced commitment to stabilizing debt, and the SARB's courage to limit public financing requirements could support the bond market and growth, bolstering institutional confidence.



Coordination Between Monetary Authority, Core Government Agencies, and The Private Sector is Required on The Following:

Global Debt Unsustainability and Contagion, Recession to Contain Inflation

Fiscal discipline and the responsible allocation of the Fiscus is essential to mitigating broader second-round inflationary pressures. Public stakeholders have stated concern and are bracing for the next supply shock, worried whether we are adequately economically prepared.

Evidence of commitment to stabilizing debt and lowering debt servicing costs, from the fiscal powers, are required to quell these concerns and improve institutional confidence and move beyond economic resilience toward the individual welfare of each South African citizen.

Fiscal Dominance and Long-run Borrowing Costs

Should debt deterioration accelerate, and the risk for subsequent government financing materialize triggering the deprioritization of the Central Banks mandate legal, institutional and operational guardrails must be upheld .

immovably.
The institution's resolve and constitutional integrity to maintain solvency and liquidity must be reinforced, since failure to preserve mandates will have explosive consequences.

We do not want to be a chronicled cautionary tale in the annals of economic disasters, so maybe it bears repeating.

The Country Risk Premium as a Function of Property Rights and Climate Priorities

Professor Damodaran makes a compelling argument by supposing two more material risk premium drivers: strong property rights and climate priorities.

The 2 opposing views to the property rights debate, include the implementation of transformative redress practices, and devotion to economic stability and institutional integrity.

Uprooting free market dynamics and replacing them with unpredictable government mandates risks capital flight, discourages investment and weakens the economic climate needed to attract and sustain growth opportunities.

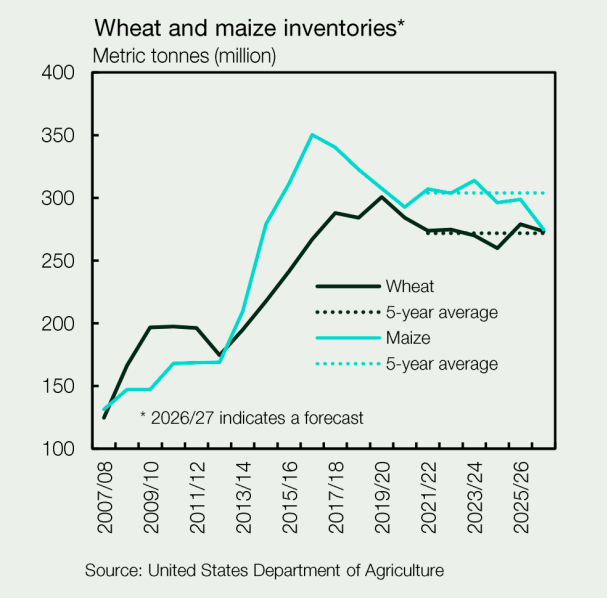
Furthermore, globally, climate risk is still not being acknowledged as a legitimate problem, and from an enterprise standpoint, bottom-line has not been materially chewed away enough to warrant collective climate action.

Property rights must be considered as unassailable legal standing by a country's constitution. Absolute commitment to climate goals must be matched with deliberate financing allocation decisions to enhance investor sentiment and attract long-term capital.

DFI's and Commercial Banks role in Climate Finance

If climate change is a global scientific risk, we must then acknowledge that our passivity makes us complicit in its gradual degeneration and commit to reversing it or slowing it down.

The loss of lives and livelihoods (Nepal), drought and the uncertainty of food availability (El Nino) warrants global and collective action and resources.



Just Share's recent 'How Cool is your Bank'? report indicates that even though sustainable finance has been making good

headway, fossil fuel financing is still leading in the race toward emission reductions.

The report indicates that there is a persistent mismatch between sustainable finance commitments and the actual, direct allocation of commercial bank financing allocated to reducing carbon emissions.

The better indicator is the composition of the loan book, and its transition away from fossil fuel reliance toward renewable and sustainable energy projects.

Bank disclosures, board accountability, and the establishing of and commitment to absolute interim targets are required to support national and international climate objectives. Further, for the reasons where capital security and returns cannot be verified, DFI's are called to step in and advance socio-economic development through carbon-reducing financing backing.

The classification of oil being used as a transmission fuel indefinitely, should be addressed with policy solutions based on clearly defined boundaries, a stated timeframe, and clear measurability.

Department of Electricity and Energy (DEE), ESKOM and NERSA

Increase in electricity tariffs have outpaced inflation over the period 2008-2026. Large real increases in electricity costs raise inflation and production costs, weakening economic growth.

- **Tariff increase and inflation target alignment - The R91.1 Billion growth dividend** Consumers are now increasingly more price-sensitive to electricity price increases. The SARB provides evidence for aligning electricity tariff increases with its inflation target (3%). Scenario analyses indicates that headline CPI and the policy rate remain lower when electricity price hikes are aligned with target. The suggested model indicates that growth gains cumulatively amount to 1.3 percentage points by 2029, quantified as a R91.1 Billion growth dividend.

- **Completion of Energy Diversification Reforms** The updated Integrated Resource Plan (IRP) highlights the structural baseline to diversify the energy mix out to 2039-2050. Of the targeted 105 000MW of new generation capacity, the new proposed allocation targets, onshore wind, utility scale solar PV, and rooftop solar are touched on. Active commitment to diversifying the energy mix with less exposure to oil volatility and price shocks must be matched with establishing interim absolute emission and funding targets to 2039.

- **Energy Market Liberalization Cross-border Trade** NERSA approved NTCSA's Market Operator license November 2025, meaning a a competitive multi-market electricity model for South Africa. The SAWEM and SAPP connection reshapes renewable pricing models, stimulating a more competitive energy market, widening the regional demand and supply pool. There is also a strong commercial case for cross-border trade among the SSA region, however a more secured transmission path is required along the central corridor to effectively match bids.

- **Strategic Oil Reserves and Refined Products Import-Dependence** The Strategic Petroleum Stocks Policy (SPSP) drafted in July 2026 proposed accumulation targets for the state and the private sector to be stored at 2 state-owned terminals, which leading fuel authorities claim does not have sufficient physical infrastructure to store these refined products. While stockholding commences, South Africa is still dependent on external markets for oil and refined products, like the Dangote refinery for now.

Foreign Currency Reserves - An Effective Supply- Shock Absorber

Gross foreign currency reserves as of September 2026 stands at $75.43 billion, comprising foreign exchange reserves, gold reserves, SDRs and a forward position. A well-diversified, highly liquid portfolio is able to absorb external shocks, smoothes currency volatility, and indicates a lower default risk to international investors, narrowing the country's risk premium and keeping debt servicing costs at bay.

The import buffer is 5.1 months, optimally defensive with a current account deficit and increased risk of persistent supply shocks. This financial position could serve to reassure public concerns of persistent inflation and monetary policy positioning.

Reserves are not idle, they are allocated either into liquidity or investment tranches, based on yield and flexibility of access, earning ROI to preserve capital and prioritize liquidity.

Over and above foreign currency reserves and the Policy rate, a strategic mix of structural, monetary and macroprudential tools are being utilized to ensure liquidity, and prevent broader domestic economic destabilization.

Employment - The Protection and Position of the People

AI Upskilling and Education In just the global financial sector alone, AI-disruption that accelerates systems, processing and digital infrastructure development, has ushered in a new order,

of an undeniable magnitude supporting global growth, with industry leaders warning that failure to transition could threaten business as usual as a going concern.

Further, universities and technical colleges are called to heavily incorporate AI knowledge into academic programs to better position graduates for the workforce and entrepreneurship. This is how the people are protected.

But while AI makes barriers to entry low, the demand for various trade and artisan skills have increased as well.

The South African Startup Ecosystem and its Investment Timing Horizon The 2026 Global Entrepreneurship Monitor (GEM) scores South Africa's general entrepreneurial framework as a weak 3.9/10. Young startups are simply struggling to graduate from simple ideas to institutional-grade, venture-scale operations due to bureaucratic hurdles, and fragmented local incubation structures. Ample capital is available and ready to be deployed into investment ready projects.

Founders then need to solve for compliance and unit economics from day one, with an iron-clad and calculated profitability path to a continental and global footprint, over and above just user metrics. With increased national exposures to goods and system vulnerabilities due to AI, Climate, and logistical and trade dependencies, effective solutions emerging from cybersecurity, agriTech, climateTech, health and cleanTech spaces are much needed.

Debt is increasingly becoming a core component of the capital mix across the continent, potential partnership between DFI's and local VC's could introduce debt-equity structures that limit founder equity dilution and support portfolio economics through limited downside risk.

Funding networks should take the opportunity to build intentional pathways to source, and nurture home grown talent who do not necessarily have international qualifications, but who do have quality ideas, and the potential to execute, operate and serve their market.

In 2026, SAVCA did report that SA VC exits are producing globally competitive returns. In light of this, the distinct nature of the investment time horizon in African markets needs to be embedded in the thesis. Foreign investors will win big in Africa with longer-term commitments of capital to our talent pool.

The Investment:GDP Shortfall

The business economy is now increasingly marked by value-conscious and price sensitive consumers. Manufacturers have chosen not to raise production even with surplus capacity, with cheaper imports narrowing margins further.

Firms are responding by optimizing for efficiency and maintenance rather than growth.

Investment-to-GDP stands at 14% for 2026 having steadily declined since 2008. A recent SARB note suggests that the low-investment regime has now become the new structural baseline across all investment categories including governments, public corporations and the private sector.

State capacity to provide critical public goods and services at the local and municipal levels is gradually weakening, contributing to widening sovereign risk premiums increasing costs of doing business.

Allan Gray's Sandy McGregor and Matthew Peterson's September 2026 article acknowledges that there is a lack of supply of viable and profitable projects, rather than a capital supply. The possibility of government's succumbing to reversing the 'grave mistake' of increasing offshore diversification limits (changes to regulation 28) risks direct state failure spillover effects into the private savings pool.

This decision could leave South Africa in the low-investment regime indefinitely, leaving the South African poorer and more financially oppressed than economically liberated.

Forcing local investors toward domestic investment in relatively concentrated markets could direct capital to underperforming capital assets, hampering any semblance of long-term returns and stability. Reneging will not rescue SA from the structural new normal investment baseline.

AI BOOM Bubble POP?

AI-related activity and valuation is being realized in global economic growth activity and resilience. However, AI Capex of 'hyperscalers' is increasingly being debt-funded to erect more data centres, acquire more computing power, only adding more leverage to the system.

Anthropic filed an IPO-intent, now postponed to after the US mid-term elections. Equity valuation consensus sits between $1.5 - $2 trillion, though this does not account for debt obligations and other off-balance sheet activities. Enterprise value matters. With Anthropic's reliance on its massive and complex debt structures, revealed in their leaked S-1 Prospectus filing, the more prominent questions should be how long to growth, and the requirements to sustain that growth and lock in to the 'age of abundance' for all? Further, how would profitability be impacted when you become the direct competitor of your compute chip supplier?

A different angle would be the AI

‘speculative mania’ narrative, which is maybe best portrayed in the Situational Awareness hedge fund saga, cautioning against highly leveraged, highly concentrated AI bets with no hedging strategies.
High conviction, high exposure, high leverage driving AI bets. What could go wrong? Mr Market will make you find out. And quickly.

US market AI-related repricing looks like it has already started, Coreweave is more recent. The associated magnitude and spillover effects to market categories of following geographies must be anticipated to preserve financial stability from a monetary policy and global risk sentiment perspective.

Methodology Note

Data sourced from SARB and StatSA (2015–2026). Insights derived via descriptive, time series, correlation, sensitivity and regression modeling, and residual path tracking to isolate historical co-movements, and visually explore the relationship’s non-linearity.

Conclusion

The SARB policy rate tends to stay elevated even after key inflation metrics have decreased and are contained. Transmission effects are far-reaching.

Political and economic institutions hold tools and agency to manage these effects, protecting domestic businesses and investment, attracting foreign capital, and creating conditions for true economic liberation to be realized by the South African individual.

Being a ‘belwether’ currency, the ZAR has an embedded risk variance and fiscal structure premium, making it highly sensitive to global liquidity shocks.

The direct effects of a US AI-market reckoning to the domestic economy are seemingly modest, but greatly influences risks surrounding the currency, asset markets, and inflows of capital.

Navigating unprecedented times, calls for the robust understanding of the associated risks, growing opportunities, and the need for calculated, transparent imperatives, absolute targets and accountability is ever-increasing for actual progress to materialize.

As the quote suggests, for the ideal man to exist, to flourish, to be rewarded, the conditions and the environment have to be orchestrated and configured by those who hold the pen and the power, requiring collective participation and united action toward common goal.

> **“Since my purpose is the presentation of an ideal man, I had to define and present the conditions which make him possible and which his existence requires ... I had to present the kind of social system that make it possible for the ideal man to exist and to function - a free, productive, rational system which demands and rewards the best in every man.”**
> — Alice O’ Connor aka Ayn Rand when writing *The Fountainhead*, 1943

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